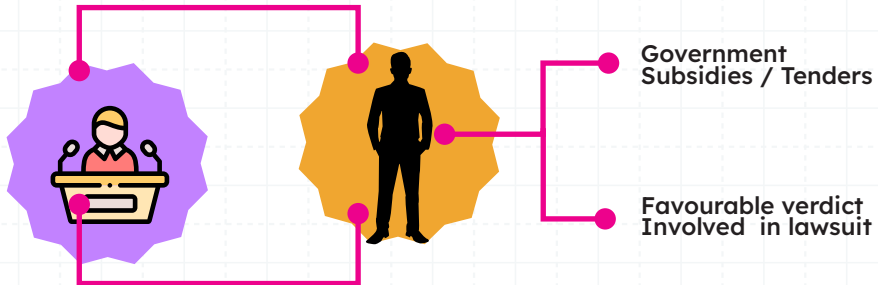


EXTERNAL FACTORS

External factors like political connections and ownership in industries with great synergies can be a source of competitive edge for a company. Political connections may not always be explicit and hence are difficult to identify. If a company has good political connections, it can enjoy favourable treatment in cases of government subsidies or tenders. In extreme cases, companies involved in lawsuits involving intellectual property rights, or mergers and acquisitions, might use their connections to get a favourable verdict.



If a company or its parent company owns other important companies, it can have a positive spillover effect. For example, if a new company's parent company owns a media house, the new company could find it easier to build an image and save on advertising costs. Similarly, if a holding company that already owns a rubber producer buys a tyre company, the tyre company might enjoy lower costs.

